

**Superior Court of the State of California
County of Orange**

TENTATIVE RULINGS FOR DEPARTMENT C21

JUDGE CRAIG E. ARTHUR

Date: August 7, 2026

The court will endeavor to post tentative rulings on the Court's website by 4:00 p.m. on the day before the Law and Motion Calendar. However, ongoing proceedings may prevent posting by that time. Please do not call the department for tentative rulings if none are posted. The court will not entertain a request for continuance once a tentative ruling has been posted and no additional papers will be considered once a tentative ruling has been posted.

If all parties agree to submit on the Court's tentative rulings, please call the Court Clerk to inform the court that all parties submit on the Court's tentative ruling (657-622-5221). The tentative ruling will then become the order of the Court.

The Law and Motion Calendar is typically heard on Fridays at 10 a.m., unless otherwise noted. All arguments will be heard at that time. Unless otherwise indicated in the tentative ruling, the prevailing party will give Notice of Ruling. If no one appears for the hearing, the court shall determine whether the matter is taken off calendar or whether the tentative ruling shall become the final ruling.

APPEARANCES: The Court offers remote appearances for the Law and Motion Calendar via Zoom. All counsel and self-represented parties appearing remotely for the Law and Motion Calendar must check-in online through the Court's website at <https://www.occourts.org/civil-remote-hearings>, and then click on Department C21 (to check-in). The Court's "Civil Desktop Remote Appearance Video," an instructional video, is available through the Court's website at [Civil Desktop Remote Appearance Video](#), and the Court's "Civil Mobile Application Remote Appearance Video" is available through the Court's website at [Civil Mobile Application Remote Appearance Video](#). If you encounter difficulty checking-in online or connecting remotely, please call Department C21 for assistance at (657) 622-5221. Counsel and self-represented parties preferring to appear in-person may do so.

COURT REPORTERS: Official court reporters (i.e. court reporters employed by the Court) are NOT typically provided for law and motion matters in this department. Please see the Court's website for further information. The Court's policy on privately-retained court reporters is available on the Court's website at: [Privately-Retained Court Reporter Policy](#).

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

#	Case Name	Tentative
50	<i>D'Ambra vs. Ford Motor Company</i>	Plaintiff Phillip D'Ambra moves to compel the deposition of Defendant Ford Motor Company's Person Most Knowledgeable(/Qualified). Based on the parties' correspondence regarding this deposition, it appears that 10/1/26 is a mutually agreeable date for the deposition at issue to occur. On 6/18/26, Defense counsel emailed stating its witness was available on 10/1/26 at 10:00 am. Plaintiff's counsel responded on 6/22/26, stating "Please either find a date within the next 30 days for the deposition to go forward or agree to stipulate to October 1, 2026, at 10 a.m." Defense counsel responded confirming this date. (Lara Decl., Ex. 4, 5 [emphasis added]; Chen Decl., ¶¶11, 14, Ex. A.) It is unclear what Plaintiff is requesting when he asks Defendant to "agree to stipulate." It is not Defendant's job to prepare a stipulation for a deposition that Plaintiff notices. If by "stipulate," Plaintiff means "agree," it seems like Defendant has done so in the email correspondence attached to the briefing. At this point, as Defendant invites Plaintiff to do, it is incumbent on Plaintiff to serve a notice for the 10/1/26 deposition. Notwithstanding this, the Court recognizes that Plaintiff has been seeking to take this deposition for quite some time, since it was first noticed on 9/23/25. (Lara Decl., ¶¶ 2, 3, Ex. 1.) Accordingly, Defendant is ordered to produce its PMK/PMQ in accordance with Plaintiff's deposition notice on or before 10/1/26.

	Plaintiff additionally requests that the Court compel Defendant's production of documents in response to the deposition notice. On page 8 of the motion, Plaintiff states: "As set forth in the concurrently filed Separate Statement of items in dispute, Defendant's objections, including those based upon privilege, lack any merit whatsoever. Therefore, Defendant should be compelled to produce the requested documents." No separate statement was filed. The Court is not in possession of Defendant's objections if such were even served, which the parties dispute. In any event, this is a premature request. Code Civ. Proc., § 2025.460(e) states: "[i]f a deponent fails to answer any question or to produce any document, electronically stored information, or tangible thing under the deponent's control that is specified in the deposition notice or a deposition subpoena, the party seeking that answer or production may adjourn the deposition or complete the examination on other matters without waiving the right at a later time to move for an order compelling that answer or production under Section 2025.480." In addition, Code Civ. Proc., § 2025.410 provides that written objections should be served at least 3 calendar days before the deposition. Thus, based on the date of 10/1/26, any objections to the document demands in the deposition notice would be due on 9/28/26. As noted in § 2025.460(e), Plaintiff will have recourse at that time to move to compel if he
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		contends Defendant's responses/production are inadequate. Plaintiff shall give notice.
51	<i>Off calendar</i>	
52	<i>Johnson vs. Twin Cypress, LLC</i>	Plaintiff Scott Johnson's motion to strike Defendant Twin Cypress, LLC's Answer is GRANTED with 30 days leave to amend. Plaintiff's Complaint is verified pursuant to Code Civ. Proc., § 425.50(b)(1). Defendant filed an unverified Answer on 2/6/26. (ROA 12.) Because Plaintiff's Complaint is verified, Defendant's Answer is also required to be verified. (See Code Civ. Proc., § 446; <i>French v. Smith Booth Usher Co.</i> (1942) 56 Cal.App.2d 23, 29.) Thus, based on this, Plaintiff asks the Court to strike Defendant's Answer in its entirety without leave to amend. In <i>Jenssen v. R.K.O. Studios</i> (1937) 20 Cal.App.2d 705, 707, the court holds that amendments may be allowed in the absence of a showing of prejudice to the adverse party. Plaintiff has not set forth any prejudice. Given that "California courts have a policy of great liberality in allowing amendments at any stage of the proceeding so as to dispose of cases upon their substantial merits where the authorization does not prejudice the substantial rights of others," the Court will allow Defendant the opportunity to cure the defects in the Answer

		articulated by Plaintiff in the moving papers. (<i>Board of Trustees v. Superior Court</i> (2007) 149 Cal.App.4th 1154, 1163–1164.) Plaintiff’s demurrer is moot as a result. In the future, a demurrer and motion to strike should be filed as separate documents. (Cal. Prac. Guide Civ. Pro. Before Trial Ch. 7(I)-B at ¶ 7:162.1.) Plaintiff shall give notice.
53	<i>Off calendar</i>	
54	<i>Off calendar</i>	
55	<i>Sanchez vs. Ford Motor Company</i>	The motions of defendant Ford Motor Company and AutoNation Ford Tustin for summary adjudication and summary judgment on plaintiff Cirilo Sanchez’s first amended complaint (“FAC”) are DENIED. [ROA #87.] Plaintiff’s request for judicial notice is denied. [ROA # 118.] Defendants’ objections to Plaintiff’s separate statement are not in compliance with the statute or applicable rules of court. <i>See</i> Code Civ. Proc. §437c(b)(5); CRC 3.1352, 3.1354. <u>Legal Standard</u> Under Code of Civil Procedure section 437, a party may move for summary adjudication as to one or more causes of action within an action, one or more affirmative defenses, one or more claims for damages, or one or more issues of duty, if that party contends that the cause of action has no merit or that there is no affirmative defense thereto, or that there is no merit to an affirmative defense as to any cause of action, or both, or that

	there is no merit to a claim for damages, as specified in Section 3294 of the Civil Code, or that one or more defendants either owed or did not owe a duty to the plaintiff. Code Civ. Proc. §437c(f)(1). “A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty.” <i>Id.</i> For summary adjudication of a claim of damages, other than punitive damages, that does not entirely dispose of a cause action, defense, or issue of duty the parties must comply with Code of Civil Procedure section 437c(s)(1). A “party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact” <i>Aguilar v. Atlantic Richfield Co.</i> (2001) 25 Cal.4th 826, 850. “A prima facie showing is one that is sufficient to support the position of the party in question.” <i>Id.</i> at 851. A defendant moving for summary judgment satisfies his or her initial burden by showing that one or more elements of the cause of action cannot be established or that there is a complete defense to the cause of action. Code Civ. Proc. § 437c(p)(2). A cause of action “cannot be established” if the undisputed facts presented by the defendant prove the contrary of the plaintiff’s allegations as a matter of law. <i>Brantley v. Pisaro</i> (1996) 42 Cal.App.4th 1591, 1597. Alternatively, a moving defendant can show that a cause of action “cannot
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be established” by submitting evidence – such as discovery admissions and responses – that the plaintiff does not have and cannot reasonably obtain evidence to establish an essential element of his cause of action. *Aguilar v. Atlantic Richfield Co.*, 25 Cal.4th at 854-855. *See also Union Bank v. Superior Court* (1995) 31 Cal.App.4th 573, 590 (finding moving defendant may show plaintiff’s lack of evidence by factually devoid discovery responses after plaintiff has had adequate opportunity for discovery); *Scheidig v. Dinwiddie Const. Co.*(1999) 69 Cal.App.4th 64, 80-81 (finding *Union Bank* rule only applies where discovery requests are broad enough to elicit all such information); *Weber v. John Crane, Inc.* (2006) 143 Cal.App.4th 1433, 1441-1442 (same).

Once the defendant's burden is met, the burden shifts to the plaintiff to show that a triable issue of material fact exists as to that cause of action. *Villacres v. ABM Industries, Inc.* (2010) 189 Cal.App.4th 562, 575. To meet this burden, the plaintiff must present substantial and admissible evidence creating a triable issue. *Sangster v. Paetkau* (1998) 68 Cal.App.4th 151, 163. Theoretical, imaginative, or speculative submissions are insufficient to stave off summary judgment. *Doe v. Salesian Society* (2008) 159 Cal.App.4th 474, 481; *Bushling v. Fremont Med. Center* (2004) 117 Cal.App.4th 493, 510.

Discussion

Fifth Cause of Action for Negligent Repair

	The elements of negligence are “(1) a legal duty to use due care; (2) a breach of such legal duty; [and] (3) the breach as the proximate or legal cause of the resulting injury.” <i>Ladd v. County of San Mateo</i> (1996) 12 Cal.4th 913, 917. For this cause of action, Plaintiff alleges that Defendant AutoNation Ford Tustin breached its duty to Plaintiffs to use ordinary care and skill by failing to properly store, prepare and repair the Subject Vehicle in accordance with industry standards. Defendants argue Plaintiffs’ claim for negligent repair is barred by the economic loss rule because Plaintiff’s repair order constitutes a contract that defines the scope of work and unless the purchaser can demonstrate harm above and beyond a broken contractual promise, the economic loss rule requires that he recover in contract for purely economic loss, citing <i>Rattagan v. Uber Technologies, Inc.</i> (2024) 17 Cal.5th 1, 20. <i>See also Sheen v. Wells Fargo Bank, N.A.</i> (2022) 12 Cal.5th 905, 922, 923-925 (finding tort claims for monetary losses between contractual parties are barred by the ELR when they arise from or are not independent of the parties’ underlying contracts). But the existence of a repair order alone does not establish the nature of the relationship between and among Plaintiff, AutoNation Ford Tustin, and Ford Motor Company. Plaintiff has not alleged the existence of a contractual relationship between himself and
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	AutoNation Ford Tustin. The repair order alone does not fill that gap. Plaintiff alleges he took the vehicle in for warranty repairs. [Fac, ¶¶47, 60.] Without more than the repair order, there remains a triable issue of fact whether AutoNation Ford Tustin’s obligation to make the repair arose out of its relationship with Ford Motor Company rather than Plaintiff. Presumably, for example, Ford reimburses or contracts with AutoNation Ford Tustin to pay for each warranted repair that it performs. Accordingly, on the current record, there is a triable issue of fact whether AutoNation Ford Tustin’s duty to Plaintiff--to reasonably perform the repair--arises from tort and the general duty of reasonable care that each person owes each other. Further, the court in <i>North American Chemical</i> explained: “[F]or over fifty years California has also recognized the fundamental principle that ‘[a]ccompanying every contract is a common-law duty to perform with care, skill, reasonable expedience, and faithfulness the thing agreed to be done, and a negligent failure to observe any of these conditions is a tort, as well as a breach of contract.’” <i>North American Chemical Co. v. Superior Court</i> (1997) 59 Cal.App.4th 764, 774. “A contract for the performance of services, as we have already discussed, necessarily carries with it both the reasonable expectation and implied at law promise that it will be performed with reasonable care.” <i>Id.</i> at 785.
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	Having found the existence of a duty sufficient to support a negligence claim, the court in <i>North American Chemical</i> proceeded, in a separate portion of the opinion, to hold that the economic loss rule did <i>not</i> apply to service contracts, where the economic loss was foreseeable (a <i>Biakanja</i> factor.) <i>Id.</i> at 770. For these reasons, AutoNation Ford Tustin's motion for summary judgment on the fifth cause of action for negligent repair is DENIED. <i>Sixth Cause of Action for Fraudulent Concealment</i> The elements of fraud are: "(a) [a] misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or "scienter"); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." <i>Lazar v. Superior Court</i> (1996) 12 Cal.4th 631, 638; <i>see also Engalla v. Permanente Medical Group, Inc.</i> (1997) 15 Cal.4th 951, 974. Specific to a fraudulent concealment or omission claim, the plaintiff must establish: (1) the defendant concealed a material fact; (2) the defendant had a duty to disclose the fact to the plaintiff; (3) the defendant intentionally concealed the fact with the intent to defraud the plaintiff; (4) the plaintiff was unaware of the fact and would not have acted as he did if he had known of the concealed fact; and (5) as a result of the concealment of the fact, the plaintiff sustained
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damage. *Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 748.

There are four circumstances in which concealment/omission may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. *Limandri v. Judkins* (1997) 52 Cal.App.4th 326, 336-337; CACI 1901.

ISSUE Nos. 2 and 3: Duty to Disclose/Direct Transaction or Contract

The court in *Bigler-Engler, Inc.* (2017) 7 Cal.App.5th 276, held that: “A duty to disclose facts arises only when the parties are in a relationship that gives rise to the duty, such as ‘seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual arrangement.’” *Id.* at 311. “Our Supreme Court has described the necessary relationship giving rise to a duty to disclose as a ‘transaction’ between the plaintiff and defendant: ‘In *transactions* which do not involve fiduciary or confidential relations, a cause of action for non-disclosure of material facts may arise in at least three instances: (1) the defendant makes representations but does not disclose facts which materially qualify the facts disclosed, or which render his disclosure likely to mislead; (2) the facts are known or accessible only to

	defendant, and defendant knows they are not known to or reasonably discoverable by the plaintiff; (3) the defendant actively conceals discovery from the plaintiff.” (<i>Id.</i> at 311). “Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” <i>Id.</i> at 312. In <i>Bigler-Engler</i>, no seller and buyer or contractual relationship existed between the plaintiff and manufacturing defendant. <i>Id.</i> at 314. There, the manufacturing defendant sold medical devices to the doctor defendant several years before the plaintiff rented one of the manufacture's devices from the doctor's office. <i>Id.</i> Therefore, the manufacturing defendant had no contact with the plaintiff, did not know plaintiff was a potential user of their products or used the device, and did not derive any direct monetary benefit from the plaintiff's rental of the device. <i>Id.</i> Conversely, here, Plaintiff has alleged, and Defendant has not submitted evidence refuting that allegation, that Plaintiff entered into a warranty contract with Defendant Ford. [FAC, ¶ 7.] Further, Plaintiff alleges, and Defendant has not provided a showing to negate, that prior to purchasing the vehicle Plaintiff reviewed Defendant FMC's marketing and advertising materials, conferred with Defendant's sales representatives at FMC's authorized retail
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	dealership, David Wilson’s Villa Ford, and took the Vehicle for a test drive. [FAC, ¶ 65.] These facts give rise to the inference that Plaintiff relied on Defendant’s representations about the vehicle in deciding to purchase it – whether directly or through its authorized agent. They also take Plaintiffs’ claim outside the economic loss rule. As noted by the court in <i>Dhital v. Nissan North America, Inc.</i> (2022) 84 Cal.App.5th 828, “Here, the fraudulent inducement exception to the economic loss rule applies. Plaintiffs allege that Nissan, by intentionally concealing facts about the defective transmission, fraudulently induced them to purchase a car. Fraudulent inducement is a viable tort claim under California law. ‘The elements of fraud are (a) a misrepresentation (false representation, concealment, or nondisclosure); (b) scienter or knowledge of its falsity; (c) intent to induce reliance; (d) justifiable reliance; and (e) resulting damage.’ [Citations.]” <i>Dhital v. Nissan North America, Inc.</i> (2022) 84 Cal.App.5th 828, 838. The <i>Dhital</i> court also stated, “[U]nder California law, the economic loss rule does not bar plaintiffs’ claim here for fraudulent inducement by concealment. Fraudulent inducement claims fall within an exception to the economic loss rule recognized by our Supreme Court (<i>Robinson, supra</i>, 34 Cal.4th at pp. 989–990), and plaintiffs allege fraudulent conduct that is independent of Nissan’s alleged warranty breaches.” <i>Dhital v.</i>
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	<i>Nissan North America, Inc.</i> (2022) 84 Cal.App.5th 828, 843, 844. But the economic loss rule does not act as an <i>absolute</i> bar to tort recovery in every case in which the parties have a contractual relationship. “Courts generally permit tort suits if the defendant allegedly violated a duty rooted in tort principles that is independent of the parties' contractual rights and obligations and exposed the plaintiff to a risk of harm beyond the parties' reasonable contemplation when they entered into the contract. The ability to recover for an independent tort is a fundamental principle that our courts have broadly applied even where the economic loss rule is not directly implicated.” <i>Rattagan v. Uber Technologies, Inc.</i> (2024) 17 Cal.5th 1, 23 and n.12 (footnote omitted) Here, Plaintiff’s un rebutted allegations of interactions with Defendant and its dealer match the allegations found sufficient in <i>Dhital</i>. ISSUE No. 1: <u>Concealment against Ford and Knowledge at Time of Sale</u> For this argument, Defendant asserts that “Plaintiff produced no facts or documents regarding Ford’s alleged presale knowledge of a transmission defect in Plaintiff’s vehicle.” [Motion MPA at 12:13-14.] However, this is not the test on summary judgment. It is <i>Defendant’s</i> burden to make a prima facie showing that Plaintiffs cannot reasonably obtain evidence to establish an essential element of his cause of action. <i>Aguilar</i>
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v. Atlantic Richfield Co., 25 Cal.4th at 854-855. See also *Union Bank v. Superior Court* (1995) 31 Cal.App.4th 573, 590 (finding moving defendant may show plaintiff's lack of evidence by factually devoid discovery responses after plaintiff has had adequate opportunity for discovery); *Scheiding v. Dinwiddie Const. Co.* (1999) 69 Cal.App.4th 64, 80-81 (finding *Union Bank* rule only applies where discovery requests are broad enough to elicit all such information); *Weber v. John Crane, Inc.* (2006) 143 Cal.App.4th 1433, 1441-1442 (same).

Defendant cites *Andrews v. Foster Wheeler LLC* (2006) 138 Cal.App.4th 96 but does not explain how its discovery requests *here* were as comprehensive as those in *Andrews*. See *Andrews v. Foster Wheeler LLC*, 138 Cal.App.4th at 104 (“[Defendant] propounded a series of special interrogatories which called for all facts” and “[Defendant] propounded other special interrogatories in its effort to obtain all of the facts known to plaintiffs regarding Andrews's exposure to Foster Wheeler's products. Plaintiffs provided little, if any, substantive information in reply.”).

On reply, and in opposition to Plaintiffs’ request for judicial notice, Defendant argues that the evidence relied on by Plaintiffs’ to show Defendant’s knowledge is inadmissible as it is not subject to judicial notice. [See Opp. (ROA #159) at 3-6; Reply (ROA # 176) at 5-6.] Defendant is correct. But there is no showing that Plaintiffs *cannot reasonably* get this evidence into admissible form.

		Defendant also objects that Plaintiff did not produce these documents in discovery. But that is not grounds not to consider them on a motion for summary judgment or adjudication. <i>Biles v. Exxon Mobil Corp.</i> (2004) 124 Cal.App.4th 1315, 1327, 1329 (“in the absence of an evidentiary sanction for discovery abuse . . . , there is no general bar on introducing previously undisclosed evidence in opposition to a summary judgment motion”); <i>People ex rel. City of Dana Point v. Holistic Health</i> (2013) 213 Cal.App.4th 1016, 1030–1031 (reversing summary judgment for improper exclusion). <i>See also</i> Cal. Prac. Guide Civ. Pro. Before Trial Ch. 10-D §§ 10:206.5-.10 (“In the absence of discovery abuse, otherwise admissible evidence may be presented in opposition to a summary judgment motion <i>even if not disclosed</i> in response to earlier discovery requests.”). Accordingly, Defendant Ford has not met its prima facie burden of showing that Plaintiff does not have and cannot reasonably obtain evidence to establish the knowledge element of his fraud claim. Based on all of the above, Ford’s motion for summary adjudication of Plaintiff’s sixth cause of action for fraudulent concealment is denied. The motions of defendant Ford Motor Company and AutoNation Ford Tustin are DENIED. Ford Motor Company is ordered to provide notice of this ruling.
56	<i>Off calendar</i>	

57	<i>Zeller vs. State Farm General Insurance Company</i>	Defendant State Farm General Insurance Company’s Motion for summary judgment or, alternatively, adjudication of Plaintiff Chris Zeller’s First Amended Complaint (FAC) is granted in part. The Court grants the request for summary adjudication of Issues 2 and 3 addressing the second cause of action for breach of the covenant of good faith and fair dealing and punitive damages. The Motion is denied as to Issue 1 addressing the first cause of action for breach of contract. <u>Request for Judicial Notice</u> State Farm seeks judicial notice of the Complaint and FAC in this case. This is denied as unnecessary. “[Y]ou should simply call the court’s attention to such papers.” (Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2025) ¶ 9.53.1a.) <u>Evidentiary Objections</u> The Court overrules Plaintiff’s objection nos. 1-15. The Court overrules Defendant’s objection no. 1 to the Der-Tatevossian Decl., and Nos. 1-3 to the Watts Decl. <u>Legal Standard</u> “A motion for summary adjudication shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty.” (Code Civ. Proc., § 437c, subd. (f)(1).) A moving defendant has met
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its burden of showing that “[a] cause of action has no merit” by establishing that one or more of the elements cannot be established, or that there is a complete defense. (Code Civ. Proc., § 437c, subd. (o).) “Once the [defendant] ... has met that burden, the burden shifts to the [plaintiff] ... to show that a triable issue of one or more material facts exists as to that cause of action or a defense thereto.” (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 849.)

Merits

This is an insurance bad faith case. Plaintiff sued for 1) breach of the policy 2) breach of the covenant of good faith and fair dealing. These are the only remaining claims in the FAC. (ROA 53.)

Plaintiff filed the instant action against State Farm alleging causes of action for breach of contract and breach of the implied covenant of good faith and fair dealing arising from State Farm’s denial of Plaintiff’s claim for coverage stemming from an alleged water loss at the residence located at 3622 Kempton Drive, Los Alamitos, California 90720 (the “Property”) on June 12, 2023. (Separate Statemeent of Undisputed Facts (SSUF) 1.)

1. Breach of Contract

The standard elements of a claim for breach of contract are ‘(1) the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) damage to plaintiff therefrom. [Citation.]’ [Citation].” (*Wall Street Network, Ltd. v. New York Times Co.* (2008) 164

	Cal.App.4th 1171, 1178; <i>Abdelhamid v. Fire Ins. Exchange</i> (2010) 182 Cal.App.4th 990, 999. The State Farm Homeowners Policy, Policy No. 71-G9-H198-2, issued to named insureds Chris Zeller and Ashley Zeller for the period from May 20, 2023 through May 20, 2024 (the “Policy”) and in effect at the time of the reported loss provides coverage for an “accidental direct physical loss” to covered property with exclusions: SECTION I – LOSSES INSURED COVERAGE A – DWELLING “We will pay for accidental direct physical loss to the property described in Coverage A, unless the loss is excluded or limited in SECTION I – LOSSES NOT INSURED or otherwise excluded or limited in this policy.” SECTION I – LOSSES NOT INSURED “1. We will not pay for any loss to the property described in Coverage A that is caused by one or more of the items below, regardless of whether the loss occurs abruptly or gradually, involves isolated or widespread damage, arises from natural or external forces, or occurs as a result of any combination of these:” “f. wear, tear, decay, marring, scratching, deterioration, inherent vice, latent defect, or mechanical breakdown;” “g. corrosion, electrolysis, or rust;” “h. wet or dry rot;”
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		“3. We will not pay for, under any part of this policy, any loss that is caused by one or more of the items below, regardless of whether the event occurs abruptly or gradually, involves isolated or widespread damage, occurs on or off the residence premises, arises from natural or external forces, or occurs as a result of any combination of these:” “c. Water, meaning:” “(8) water or sewage below the surface of the ground, including water or sewage that exerts pressure on, or seeps or leaks through a building structure, sidewalk, driveway, swimming pool, or other structure;” “(9) seepage or leakage of water, steam, or sewage that occurs or develops over a period of time:” “(a) and is:” “(i) continuous;” “(ii) repeating;” “(iii) gradual;” “(iv) intermittent;” “(v) slow; or”
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		“(vi) trickling.” (SSUF 20) Plaintiff has shown disputed material facts as to whether State Farm breached its agreement to provide insurance under Coverage A based on the disputed cause of the water intrusion and how long the water was present causing damage (i.e. whether it developed over time and was continuous or repeated rather than suddenly). (Additional Facts (AF) 228-233, see also AF 22-76, 114, 181-224, 235.) Plaintiff presents expert testimony in this regard. (AF 35, 63-76, 188, 196-201, 218-221.) On Reply, State Farm takes issue with consideration of some evidence, which is based on information developed after the Complaint was filed, citing <i>1231 Euclid Homeowners Assn. v. State Farm Fire & Cas. Co.</i> (2006) 135 Cal.App.4th 1008, 1030. But that case dealt with the issue of whether total failure to comply with the notice and proof of loss conditions will excuse insurer liability due to the failure of a condition precedent. (<i>Id.</i> at p. 1018.) While the opposition evidence may call into question some conditions precedent in the Policy, this was not an issue addressed in the Motion. The Court finds disputed facts prevent summary judgment.
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2. Breach of the Implied Covenant

The law implies a covenant of good faith and fair dealing in every contract, including insurance policies. (*Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720.)

The obligations imposed by the implied covenant are not those set out in the terms of the contract itself, but rather are obligations imposed by law governing the manner in which the contractual obligations must be discharged—fairly and in good faith. (*Gruenberg v. Aetna Ins. Co.* (1973) 9 Cal.3d 566, 573; *California Shoppers, Inc. v. Royal Globe Ins. Co.* (1985) 175 Cal.App.3d 1, 54; *Chateau Chamberay Homeowners Ass'n v. Associated Int'l Ins. Co.* (2001) 90 Cal.App.4th 335, 346.)

“[T]he essence of the implied covenant of good faith and fair dealing is that [t]he insurer must refrain from doing anything that will injure the right of the insured to receive the benefits of the [insurance] agreement, the terms and conditions of which define the duties and performance to which the insured is entitled.” (*Brandwein v. Butler* (2013) 218 Cal.App.4th 1485, 1514-1515 (brackets and emphasis in original; internal quotes omitted).)

Breach of a specific provision of the insurance contract is not a necessary prerequisite to bringing a bad faith claim. (*Carson v. Mercury Ins. Co.* (2012) 210 Cal.App.4th 409, 429.)

The fundamental principle of the implied covenant of good faith and fair dealing is “that

	neither party will do anything which will injure the right of the other to receive the benefits of the agreement.” (<i>Gruenberg v. Aetna Ins. Co.</i> (1973) 9 Cal.3d 566, 573; <i>Waller v. Truck Ins. Exchange, Inc.</i> (1995) 11 Cal.4th 1, 36.) It also requires each contracting party “to do everything that the contract presupposes that he will do to accomplish its purpose.” (<i>City of Hollister v. Monterey Ins. Co.</i> (2008) 165 Cal.App.4th 455, 491 (internal quotes omitted); <i>Carson v. Mercury Ins. Co.</i> (2012) 210 Cal.App.4th 409, 429.) The precise nature and extent of the duty imposed by the implied covenant depends on the nature and purpose of the underlying contract and the legitimate expectations of the parties arising from the contract. (<i>Jonathan Neil & Assocs., Inc. v. Jones</i> (2004) 33 Cal.4th 917, 937; <i>Egan v. Mutual of Omaha Ins. Co.</i> (1979) 24 Cal.3d 809, 818; <i>Howard v. American Nat'l Fire Ins. Co.</i> (2010) 187 Cal.App.4th 498, 528.) The purpose of first party coverages is to indemnify the insured for covered losses. Thus, the implied covenant of good faith and fair dealing in first party cases obligates the insurer: — to make a <i>thorough and prompt investigation</i> of the insured's claim for benefits; - and — <i>not to unreasonably delay or withhold</i> payment of benefits.
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	(See <i>Silberg v. California Life Ins. Co.</i> (1974) 11 Cal.3d 452, 461-462; <i>California Shoppers, Inc. v. Royal Globe Ins. Co.</i> (1985) 175 Cal.App.3d 1, 54-55.) Where there is a genuine issue as to the insurer's liability under the policy for the claim asserted by the insured, there can be no bad faith liability imposed on the insurer for advancing its side of that dispute. (<i>Jordan v. Allstate Ins. Co.</i> (2007) 148 Cal.App.4th 1062, 1072.) Tort liability for breach of the implied covenant of good faith and fair dealing is unique to insurance contracts: “[F]or a variety of [public] policy reasons, courts have held that breach of the implied covenant (in insurance cases) will provide the basis for an action in tort.” (<i>Foley v. Interactive Data Corp.</i> (1988) 47 Cal.3d 654, 684.) Here, State Farm has met its burden to show that it made a thorough and prompt investigation and acted reasonably in reaching its conclusion. (SSUF 3-19.) The Claims file shows that the date of loss was reported as June 12, 2023, and after investigating, State Farm denied the Claim on July 27, 2023, because it was not covered under the Policy. (SSUF 21) The cause of the reported water intrusion was identified as deteriorated and leaking drain piping, including a rotted kitchen drain within the wall, a decayed and leaking kitchen drain line beneath the residence, and deteriorated cast-iron drain piping beneath the residence. (SSUF 15) Plaintiff contended that the interior damage was
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	caused by a hose bib leak located on the exterior of the Property. (SSUF 10) However, Acosta (Plaintiff's plumber) did not observe active leaking water, standing water, or water damage associated with the hose bib and did not believe the hose bib was the source of the loss. (SSUF 16) Acosta observed active dripping from multiple locations in the drain piping, puddled water, saturated soil, mud, gnats, flies, and worms beneath the kitchen area. Acosta testified that the area beneath the kitchen was "soaked" and that the drain piping had been "leaking for a long time." (SSUF 17) State Farm also received information from Servpro indicating that the area behind the refrigerator was dry and that the backing of the kitchen wall appeared deteriorated. (SSUF 4) Based upon its investigation, including two inspections of the Property, Acosta's plumbing report, communications with Acosta, information obtained from Servpro, and discussions with Plaintiff, State Farm determined that the predominant cause of the drain line failure was wear, tear, and deterioration, and that the resulting water damage was caused by a continuous or repeated leakage or seepage of water from the drain line. (SSUF 14.) State Farm argues that the undisputed evidence further establishes that the water damage at the Property was the result of a continuous or repeated seepage or leakage of water from deteriorated drain piping. (SSUF 19)
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	Consistent with Acosta's findings, Servpro reported during its inspection that the area behind the refrigerator was dry and that the backing of the kitchen wall appeared deteriorated. (SSUF 4) These facts demonstrate that water had been repeatedly and continuously leaking from the drain system over an extended period before the loss was reported. (SSUF 15, 17, 18) “It is now settled ... that an insurer denying or delaying the payment of policy benefits due to the existence of a genuine dispute with its insured as to the existence of coverage liability or the amount of the insured's coverage claim is not liable in bad faith even though it might be liable for breach of contract. [Citation.]” (<i>Jordan v. Allstate Ins. Co.</i> (2007) 148 Cal.App.4th 1062, 1073, internal citation omitted.) “To fulfill its implied obligation, an insurer must give at least as much consideration to the interests of the insured as it gives to its own interests.” (<i>Jordan v. Allstate Ins. Co.</i> (2007) 148 Cal.App.4th 1062, 1072.) In the context of the denial of insurance benefits, “ [t]here are at least two separate requirements to establish [a] breach of the implied covenant: (1) benefits due under the policy must have been withheld; and (2) the reason for withholding benefits must have been unreasonable or without proper cause.” (<i>Nargizyan v. State Farm General Ins. Co.</i> (2026) 120 Cal.App.5th 581, 600; internal citations omitted.) The linchpin of proving such a breach “is that the denial of coverage was unreasonable.”
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		(<i>McCoy v. Progressive West Ins. Co.</i> (2009) 171 Cal.App.4th 785, 793; accord, <i>Nieto</i>, at p. 86, 103 Cal.Rptr.3d 906 [“The ultimate test is whether the insurer's conduct was unreasonable.”].) “[T]he reasonableness of the insurer's decisions and actions must be evaluated as of the time that they were made; the evaluation cannot fairly be made in the light of subsequent events that may provide evidence of the insurer's errors.” (<i>Id.</i> at p. 1073, internal citation omitted.) “ ‘While the reasonableness of an insurer's claims-handling conduct is ordinarily a question of fact, it becomes a question of law where the evidence is undisputed and only one reasonable inference can be drawn from the evidence.’ ” (<i>Nargizyan v. State Farm General Ins. Co.</i> (2026) 120 Cal.App.5th 581, 602, internal citations omitted.) In Opposition, Plaintiff points to an apparently new date of loss of June 2, 2023, and asserts that there were facts ignored in the investigation. But based on the Complaint, FAC, and Plaintiff's own admissions in discovery, and Plaintiff's own testimony in deposition, the loss occurred on June 12, 2023. (See Batezel Supp. Decl., Exs. 10, 12.) Plaintiff faults State Farm for not retaining a forensic engineer, performing destructive testing, inspecting the discarded SharkBite fitting (which was discarded before the claim was made), or conducting other investigative steps that Plaintiff now believes may have been helpful. (Opp., pp. 7-8, 25.)
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But a closer look at Plaintiff's enumeration of additional facts fails to show a reasonable jury could conclude State Farm's investigation into the likely duration of the leak was insufficient or unreasonable or that State Farm ignored available evidence and alternative theories before denying the claim.

For example, Plaintiff argues that State Farm did not interview Plaintiff's father-in-law, Aitken, a percipient witness. However, it was not until *after* this litigation was filed that he was identified as a witness who undertook work on June 2, 2023. Aitken was not known, or made known, to State Farm during their investigation. Instead, in the FAC, Plaintiff alleges that on or about **June 12, 2023, a pipe located behind the kitchen sink suddenly burst**, causing water damage to the walls, flooring, kitchen cabinetry, bedrooms, bathroom, and personal property at the Property. (FAC, ¶¶9, 16, 19.)

Plaintiff has presented no evidence that State Farm knew about Aitken or the work he performed just prior to the date of loss of June 12, 2023, that now apparently may shed light on whether the exclusion applies.

Plaintiff also relies on expert testimony and the PES Invoice No. 212 that was only provided to State Farm in December of **2025**. (Supp. Batezel Decl., ¶ 3, Ex. 11.) In Plaintiff's Verified Form Interrogatory Responses served December 1, 2025, Plaintiff states several times that PES inspected the property on September 17, 2023. (Supp. Batezel Decl., ¶ 2, Ex. 10., pp. 48, 51, 65,

	68.) Thus, State Farm’s failure to consider this report/bill is not evidence of a less than thorough investigation back in June and July of 2023. As to facts that existed at the time of the denial, Plaintiff points to State Farm’s July 27, 2023 file note (CF 21) documenting Acosta’s reporting of water coming from both the hose bib, “dripping from shark bite fitting,” and the drain, and Acosta’s belief that “the cause of loss was the hose bib and drain going at the same time.” (AF 114.) Plaintiff asserts that State Farm performed no efficient proximate cause analysis of the “two concurrent sources documented in its own file”. (See AF 117.) But the evidence shows that the investigation concluded that the water was “seeped over time”. Mr. Acosta testified that he did not observe active leaking water, standing water, or water damage associated with the exterior hose bib and did not believe the hose bib was the source of the loss. (SSUF 16.) Instead, he observed deteriorated cast-iron drain piping, saturated soil beneath the residence, other conditions consistent with long-term leakage. (SSUF 15-17, 19, 20.) State Farm has met its burden to show adjudication of punitive damages is proper, given the above findings. Plaintiff repackages his criticisms of State Farm's claim investigation and argues that Claim Team Managers Greg Bohn and Hector Baro participated in the coverage determination. The Court finds that Plaintiff has
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		not met his burden to show a triable issue of a material fact as to punitive damages. Thus, the case will proceed to trial on 10/12/26 on the first cause of action only for breach of contract. State Farm is ordered to serve notice of this ruling.
58	<i>Off calendar</i>	